

TDS and TCS under GST: A Detailed Guide | by Cashflo | Medium

By Cashflo

TDS and TCS under GST: A Detailed Guide Tax Deducted at Source (TDS) and Tax Collected at Source (TCS) are essential components of the Goods and Services Tax (GST) framework in India. These provisions were introduced to streamline tax collections and prevent tax evasion. In this blog, we will explore the intricacies of TDS and TCS under GST, shedding light on their significance, applicability, and procedures.

Tax Deducted at Source (TDS): TDS is a mechanism where the person making a payment deducts a certain percentage of the payment as tax and deposits it with the government. TDS provisions under GST are primarily aimed at ensuring tax compliance and tracking high-value transactions.

Applicability: TDS under GST is applicable to specific entities such as government agencies, local authorities, and certain categories of taxpayers. They are required to deduct TDS when making payments to suppliers or vendors.

Rate: The rate of TDS under GST varies based on the nature of the transaction. It is typically a small percentage of the total payment.

Registration: Those who are required to deduct TDS must obtain GST registration as TDS deductor even if he is a separately registered taxpayer and file periodic returns, providing details of TDS deducted and deposited.

Tax Deducted at Source (TDS): TDS is a mechanism where a specified percentage of the total amount payable is deducted by the recipient of goods or services while making payments to the supplier. The deducted amount is then remitted to the government. TDS under GST is governed by Section 51 of the CGST Act, 2017.

Applicable Entities: TDS under GST is applicable to the following entities:

- Government agencies or specified persons.
- Local Authorities
- Such category of persons notified by the Government
- Public sector undertaking, etc

Rate: TDS is deducted at a prescribed rate, which should not exceed 2% (1% each for CGST and SGST/UTGST) of the total value of the supply.

- The deducted TDS amount must be remitted to the government within a specified timeframe.
- The deductor must furnish a TDS certificate to the deductee.

Tax Collected at Source (TCS): TCS is another mechanism where the seller collects tax from the buyer at the time of sale and deposits it with the government. TCS provisions are intended to track high-value transactions and promote tax transparency.

Applicability: TCS under GST is applicable to e-commerce operators who facilitate the sale of goods or services through their platforms. They are required to collect TCS from the sellers on their platforms.

Rate: The rate of TCS under GST is a small percentage of the total transaction value. It varies based on the type of goods or services sold.

Registration: E-commerce operators must register under GST, collect TCS from sellers, and file regular returns with details of TCS collected and deposited.

Tax Collected at Source (TCS): TCS is the flip side of TDS. It places the responsibility of collecting tax on the supplier rather than the recipient. Under TCS, the supplier collects tax from the recipient and deposits it with the government. TCS under GST is governed by Section 52 of the CGST Act, 2017.

Applicable Entities: TCS under GST applies to the following entities:

- E-commerce operators who facilitate supplies made by other suppliers.

Rate: TCS is collected by the e-commerce operator at a specified rate.

- The collected TCS must be deposited to the government within the stipulated timeline.
- The e-commerce operator must furnish a TCS certificate to the supplier.

Summary: TDS and TCS are mechanisms introduced under GST to ensure tax compliance and transparency.

- TDS is applicable to specific entities making payments to suppliers, while TCS is applicable to e-commerce operators.
- Both TDS and TCS involve deducting or collecting a small percentage of the transaction value as tax.
- Compliance with TDS and TCS provisions includes obtaining certificates, filing returns, and depositing tax with the government.

TDS and TCS

critical purposes under GST: 1. Revenue Collection: These provisions ensure a continuous inflow of tax revenue to the government by preventing tax evasion. 2. Tracking Transactions: TDS and TCS facilitate the tracking of high-value transactions, enhancing transparency in the tax system. 3. Compliance: They encourage compliance among suppliers and e-commerce operators, as non-compliance can lead to penalties and legal consequences. 4. Reduced Tax Evasion: TDS and TCS mechanisms act as deterrents against tax evasion, benefiting both the government and honest taxpayers. Entities responsible for deducting Tax Deducted at Source (TDS) and Tax Collected at Source (TCS) also have obligations under the GST regime. To facilitate this, the government has introduced two crucial return forms: GSTR-7 and GSTR-8.

GSTR-7: GSTR-7 is the GST return form designed for entities that are required to deduct TDS under GST. It is an important compliance document that helps in the reporting and payment of TDS amounts. Here's a closer look at GSTR-7:

- Who must file GSTR-7?** Any person or organization that deducts TDS under GST is obligated to file GSTR-7. It is a GST return form filed by tax deductors, usually government entities and certain individuals, who deduct TDS under GST. It contains details of TDS deducted, TDS liability, and TDS refunds.
- Filing frequency:** GSTR-7 must be filed on a monthly basis, irrespective of the amount of TDS deducted.
- Details included:** GSTIN, Legal name of the deductor, Details of the tax deducted at source, Changes to details of TDS for any earlier tax period, Tax deduction at source and paid Interest, late fee payable, and paid Refund claimed from electronic cash ledger Debit entries in electronic cash ledger for TDS/interest payment.
- Due date:** The due date for filing GSTR-7 is typically on or before the 10th of the following month.
- Penalties:** Failing to file GSTR-7, the TDS return form, within the stipulated due date can result in penalties and consequences for the deductor. Here are the penalties associated with non-filing or delayed filing of GSTR-7:
 - Late fee:** If a deductor does not file GSTR-7 by the due date, they may be liable to pay a late fee. Rs. 100 per day under CGST and Rs.100 under SGST shall be levied, and the total will be Rs.200 per day of delay during which the return remains unfilled. The maximum late fee is Rs. 5,000.
 - Interest:** In addition to the late fee, interest may be applicable on the TDS amount not paid within the due date. The interest rate is usually set at 18% per annum, calculated from the day after the due date.
 - Non-compliance:** Non-compliance with GSTR-7 filing can result in the blocking of the deductor's e-way bill generation facility. This can disrupt the movement of goods and impact business operations.

GSTR-8: GSTR-8 is the counterpart to GSTR-7, designed for individuals or entities that collect TCS under GST. It is a GST return form filed by e-commerce operators who collect TCS on supplies made through their platforms. It includes information about supplies, TCS collected, and liability. Here's what you need to know about GSTR-8:

- Who must file GSTR-8?** Any person or organization that collects TCS under GST, such as e-commerce operators, must file GSTR-8. Any e-commerce operator registered under GST, which manages a digital platform for e-commerce (like Amazon), must file GSTR-8. They are required to obtain GST registration and register for TCS as well.
- Filing frequency:** GSTR-8 must be filed on a monthly basis, regardless of the quantum of TCS collected.
- Details included:** GSTIN of the E-commerce Operator, Legal name of the registered person, Details of supplies made through e-commerce operator, Amendments to details of supplies in respect of any earlier statement, Details of interest, Tax payable and paid, Interest payable and paid, Refund claimed from electronic cash ledger, Debit entries in cash ledger for TCS/interest payment.
- Due date:** The due date for filing GSTR-8 is usually on or before the 10th of the subsequent month.
- Penalties:** If an e-commerce operator fails to file GSTR-8 within the prescribed due date, they may be liable to pay a late fee. Rs. 100 per day under CGST and Rs.100 under SGST shall be levied, and the total will be Rs.200 per day of delay during which the return remains unfilled. The maximum late fee is Rs. 5,000.
- Interest:** In addition to the late fee, interest may be applicable on the TCS amount not paid within the due date. The interest

rate is typically set at 18% per annum, calculated from the day after the due date. ■.

■■■■■■■■■■ ■■ ■-■■■ ■■■■: Similar to GSTR-7, non-compliance with GSTR-8 filing can lead to the blocking of the e-commerce operator's e-way bill generation facility. ■■■■■■■■■■■■ TDS and TCS provisions under GST play a crucial role in ensuring tax compliance and revenue collection. It's essential for businesses and e-commerce operators to understand these provisions, adhere to the prescribed rates, and meet the compliance requirements to avoid penalties and legal consequences. Snippet- Unveil the world of GST's Tax Deducted at Source (TDS) and Tax Collected at Source (TCS) in India. Learn their significance, compliance, and implications. Stay GST-compliant with LogiTax!